

Discussion of “Cultural Anchors and the Heterogenous Impact of Uncertainty on Housing Returns” – Dissanayake, Samarasinghe, Torgler & Wu

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14th December 2025



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Paper Summary

- Construct cross-country panel data on housing returns, economic uncertainty, economic conditions, & culture
- Study relationship between **uncertainty** and **housing returns** using:
 - Fixed effects
 - Instrument Variable: Election timing
 - Difference-in-difference: Turkish protests in May 2013

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- Study relationship between **uncertainty** and **housing returns** using:
 - Fixed effects
 - Instrument Variable: Election timing
 - Difference-in-difference: Turkish protests in May 2013
- **Key findings**
 -  economic uncertainty  housing returns 
 - Relationship not explained by risk or other economic conditions
 - Heterogeneity by individualism, government effectiveness, long-term orientation, young age, work ethic

#1: Linking Two Big Topics

Economic Policy Uncertainty Matters!

- Influential literature since Baker, Bloom, & Davis (2016 QJE)
 - Bianchi, Ilut, & Schneider (2018 RESTUD)
 - Baker, Bloom, & Terry (2024 RESTUD)
 - Baker, Davis, & Levy (2022 JME)
 - Ahir, Bloom, & Furceri (2022)

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- **Quite topical!**

Economic Policy Uncertainty Index

We develop indices of economic policy uncertainty for countries around the world.



“Housing Is the Business Cycle”

– Ed Leamer (2007)

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not followed by Employment 
 - “Housing is merely a proxy for other consumption or wealth indicators”
- Link with these existing literatures
 - What is the key differentiator of your paper?
 - Is housing different to how uncertainty affects asset prices?
 - Engage with Leamer debate
 - Is there a VIX-type measure of uncertainty that you could use?
 - Something to capture real-estate specific uncertainty would be great.

#2: Difference-in-Differences

Sharpen Difference-in-Differences Analysis

- DID is a nice idea but it needs more work to be convincing!
- How similar are control to treatments? Compare baseline means across variables (e.g., homeownership rate, demographics, religion) and institutional details of housing/mortgage markets and government
 - Eastern European countries seem quite different culturally to Turkey
 - Can you use a similar country? Azerbaija

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- Test for common trends in pre-period
- Show figure of dynamic DID (including pre and post periods)

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- Show figure of dynamic DID (including pre and post periods)
- “Uncertainty was largely disconnected from underlying business cycle”
 - - show me evidence to support this! What happened to stock market in Turkey?
- Robust Standard errors should normally be clustered by country in DID ...but as you only have 1 treated cluster follow rearrangement procedure of Hagemann (2025 RESTUD, [R/STATA code](#))

#3 Other Suggestions

Cultural Anchors Or Heterogeneity

- Suggest removing the emphasis on cultural anchors
 - Term is not well-explained/justified to link to psychology on anchoring
 - Less contentious economics phrase is heterogeneity as moderators of relationship between housing returns and uncertainty
 - Factors such as government effectiveness I don't think of as cultural per se
 - I don't think you have great variation here to exploit

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 - I don't think you have great variation here to exploit
- I'm not a macro person and use micro rather than cross-country data
- But you may benefit from following the methods used in uncertainty literature e.g., structural VAR analysis in Baker, Bloom, & Terry (2024)
 - Their code and data are public
 - Also see Bianchi, Ilut, & Schneider (2018 RESTUD)

Thank You!



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